Inflation jumps to 4.3% as fuel and travel push prices higher

Annual CPI inflation rose to 4.3% in September, up from 4.0% in August. More importantly for the RBA, underlying inflation also edged up, strengthening the case for a fifth rate rise this year on 3 November.

WHAT HAPPENED

- Prices rose **0.8% in September** (0.6% seasonally adjusted, the figure The Conversation reports). The annual rate climbed to **4.3%**.
- **Automotive fuel** jumped 9.4% in the month and is 23.6% higher than a year ago, reflecting world oil prices. Domestic holiday travel and accommodation rose 8.0% (school holidays and big sporting events).
- **Housing** was still the largest contributor, but its annual rate eased to 5.2% from 5.7%. Electricity is 12.8% higher over the year, largely because federal energy rebates expired.
- The RBA's preferred gauge, the **trimmed mean**, rose **1.0% in the September quarter**. That was in line with economists' forecasts but above the RBA's August forecast of 0.8%. Annually it is 3.6% on the monthly measure, or 3.7% on the quarterly measure.
- Gross flags a new wildcard: **card surcharges were banned from 1 October**. If businesses build card costs into shelf prices, measured CPI could rise. The RBA estimates this could lift the price level by about 0.1% once, rather than every year.

Key terms: headline vs underlying (trimmed mean) inflation · cost-push inflation · seasonal adjustment · RBA 2–3% target

BY THE NUMBERS

4.3%
Annual CPI, Sept 2026 (Aug: 4.0%)

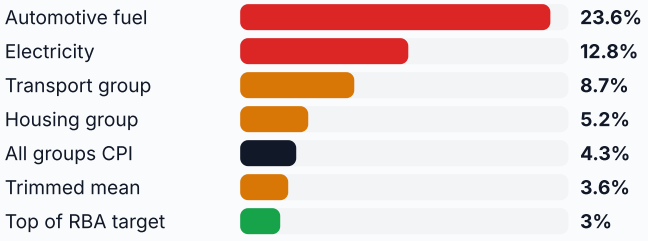
1.0%
Trimmed mean, Sept quarter (RBA forecast 0.8%)

23.6%
Fuel prices over the year

12.8%
Electricity over the year, as rebates expired

BAR CHART

Annual price rises to September 2026: where the heat is



Source: ABS, Consumer Price Index, Australia, September 2026 (annual, monthly basis).

Fuel and electricity are rising much faster than the average. Much of this is **cost-push** inflation driven by supply: world oil prices are higher and government rebates have expired.

The **trimmed mean** removes the biggest price rises and falls each period, including fuel. At 3.6% it is still above the 2–3% target band, which shows inflation is **broad-based** and not just about petrol.

Exam angle: as Gross puts it, a rate rise cannot produce more oil. It can, however, slow spending across the economy and make it harder for firms to pass higher costs on to customers.

SYLLABUS LINK

Topic 3 – Inflation: measurement (CPI, trimmed mean), causes (demand-pull, cost-push, expectations) and consequences. Links to Topic 4 – monetary policy.

TRY THIS

Distinguish between headline and underlying inflation, using data from the September 2026 CPI release. **(4 marks)**

Isaac Gross, 'Inflation jumps to 4.3%, adding to pressure for RBA rate rise next week', The Conversation, 28 Oct 2026 – https://theconversation.com/inflation-jumps-to-4-3-adding-to-pressure-for-rba-rate-rise-next-week-295162
ABS, 'CPI rose 4.3% in the year to September 2026' (media release) – https://www.abs.gov.au/media-centre/media-releases/cpi-rose-43-year-september-2026
ABS, Consumer Price Index, Australia, September 2026 – https://www.abs.gov.au/statistics/economy/price-indexes-and-inflation/consumer-price-index-australia/latest-release